

The angels invest in you and your idea. But your idea needs to have early traction and show it is working to attract capital from Angel investors.

ANGELS

After incubators, you talk to Angel Investors. These investors will back you only once you have early traction. They are typically HNI (High networth individuals) who are relatively more seasoned investors.

They are slightly more sophisticated but still not as sophisticated as professional VCs. So, they would come in when the idea is relatively young, but there is some traction to show. They won't invest at a stage where your friends and family would. They will need early traction and a business plan to scale. You will need to do answers to suppliers, distributors, marketing channels, etc. by now.

The angels invest in you and your idea. But your idea needs to have early traction and show it is working to get this capital unless you have some connection or get lucky.



Once you have been incubated and have taken capital from Angels, you are expected to build a meaningful business. This is where you go toward larger VCs.

ks